



INSTITUTE FOR POST-SCARCITY ACCOUNTING (IPSA)

WHITE PAPER SERIES No. 47-B

ON THE ALLEGED EXTINCTION OF CAPITALISM: A TECHNICAL REBUTTAL TO FULLY AUTOMATED DELUSIONALISM (FAD)



Executive Summary

This document addresses the emergent doctrine herein classified as Fully Automated Delusionalism (FAD)—the belief that artificial intelligence and robotics have rendered human labor, market demand, and economic structure obsolete within a single product cycle.

Prominent advocates, including Mo Gawdat, assert that capitalism's foundational mechanism—labor arbitrage—has collapsed to zero due to near-costless production. This report finds such claims to be operationally illiterate, economically incomplete, and mechanically unacquainted with reality.

Drawing on field data from high-capex manufacturing environments, the Institute concludes:

INSTITUTE FINDINGS

- 1 Automation does not eliminate labor; it redistributes, obscures, and often multiplies it.
- 2 The notion of 'zero-cost production' is formally reclassified as a Category IV Accounting Fantasy (CAF-IV).



1. Problem Statement

The FAD thesis rests on three axioms:

1. Robots perform all productive labor.
2. Human workers are therefore economically unnecessary.
3. Demand collapses because displaced workers cannot consume.

While internally consistent, this model fails to survive contact with a factory floor for longer than approximately 11 minutes.





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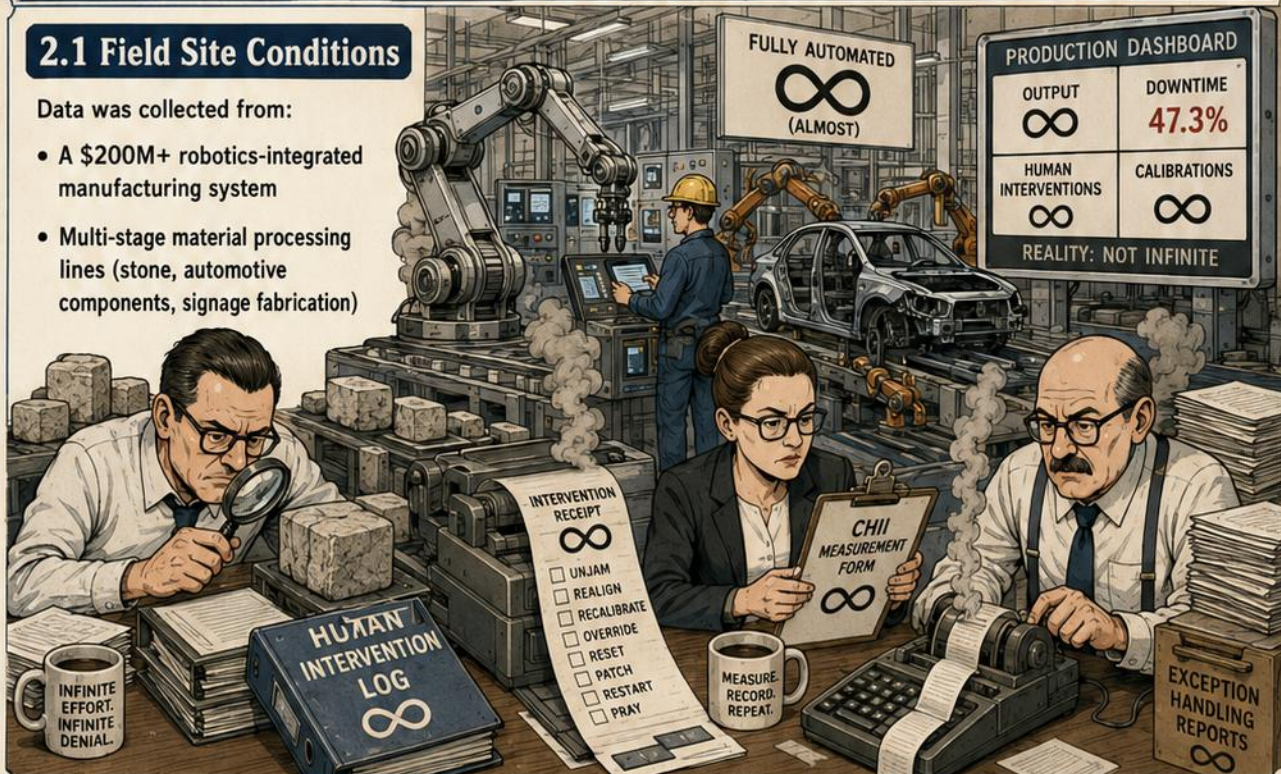
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2. Methodology: Recursive Observation of Actual Machines

2.1 Field Site Conditions

Data was collected from:

- A \$200M+ robotics-integrated manufacturing system
- Multi-stage material processing lines (stone, automotive components, signage fabrication)



2.2 Observational Protocol

Researchers applied the Continuous Human Intervention Index (CHII), defined as:

The number of human interventions required per 'fully automated' output unit.

Findings indicate:

System Type	Claimed Automation Level	Actual CHII
Robotic stone processing	95%	1.0+ interventions per unit
Automotive assembly subsystems	90%	Persistent corrective labor loops
CNC + robotic handling	85%	Continuous calibration dependency

2.3 Key Finding

Every robotic action generates a shadow workload of human correction, calibration, exception handling, and repair.

This phenomenon is formally labeled:

HILR (Human-In-the-Loop Residuals)





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3. Theoretical Collapse of the 'Zero Labor' Hypothesis

FAD proponents implicitly assume:

Machines reduce labor to zero.

Empirical evidence demonstrates instead:

Machines shift labor from visible production to invisible stabilization.

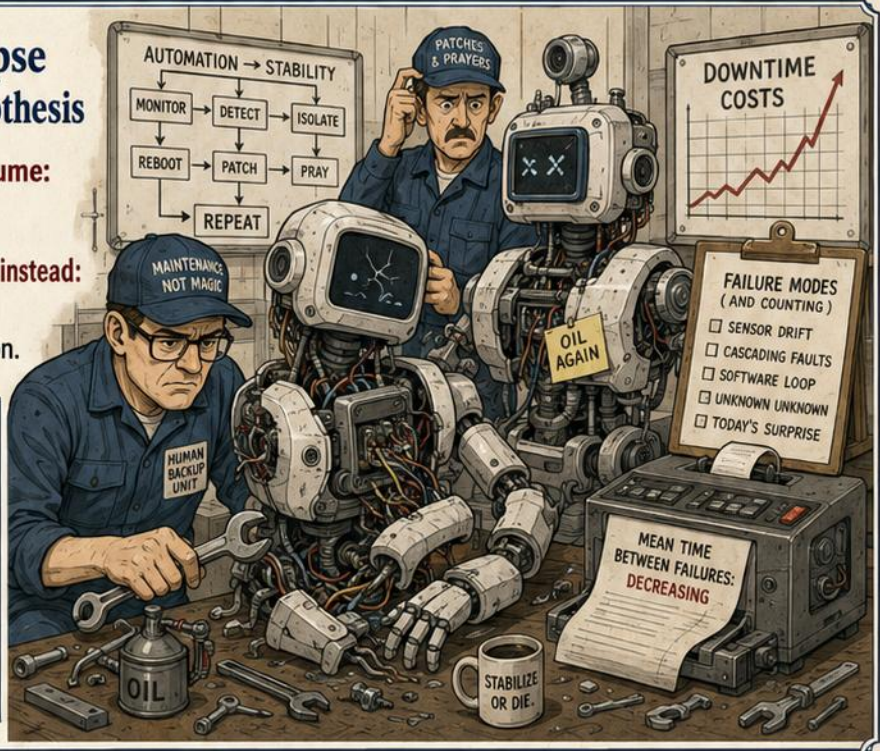
3.1 The Maintenance Paradox

As automation increases:

- Failure modes become more complex
- Downtime becomes more expensive
- Required human skill increases, not decreases

Thus:

Automation raises the minimum competence of labor rather than eliminating it.



4. Personnel Roster



Lead Investigator:

Dr. Elaine V. Krantz, PhD (Applied Reality Correction)

- Former consultant in systems that actually exist



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Senior Field Analyst:

Marcus D. Hale, MSc (Industrial Systems)

- Specialization: 'Why the robot stopped again'



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Chief Theoretical Opponent:

Prof. Adrian Null

- Chair of Hypothetical Economics, Institute for Abstract Collapse Studies
- Has not visited a factory since 1997 (by design)



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Embedded Practitioner (Anonymous):

- Former Head of Production, \$200M robotics facility
- Credential: 'Had to fix every machine personally at least once per shift'

IDENTITY WITHHELD



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5. Budget Allocation (FY 2026)

Category	Allocation (USD)	Notes
Field Observation	\$2,400,000	Includes steel-toe boots and frustration
Robot Downtime Documentation	\$1,200,000	High-frequency failure logging
Theoretical Deconstruction	\$850,000	Translating tweets into falsifiable claims
Executive Coffee Consumption	\$600,000	Required for exposure to LinkedIn discourse
Emergency Reality Checks	\$3,100,000	Deployed after exposure to 'AI replaces everything' claims
Contingency (Unexpected Machine Behavior)	\$9,000,000	Historically insufficient

Total: \$17,150,000

(All figures audited by the Department of Plausible Expenditures)



6. Discussion: The Demand-Side Misinterpretation

FAD correctly identifies a real tension:

If workers lose income, demand falls.

However, it incorrectly assumes:

- Labor disappears entirely
- Costs fall to zero universally
- Production remains frictionless



6.1 Corrected Model

In reality:

- Labor becomes more specialized
- Costs shift from wages → capital + maintenance + expertise
- Output remains constrained by:
 - material limits
 - error rates
 - system fragility



6.2 Critical Insight

There is no such thing as 'fully automated production'—only differently employed humans.

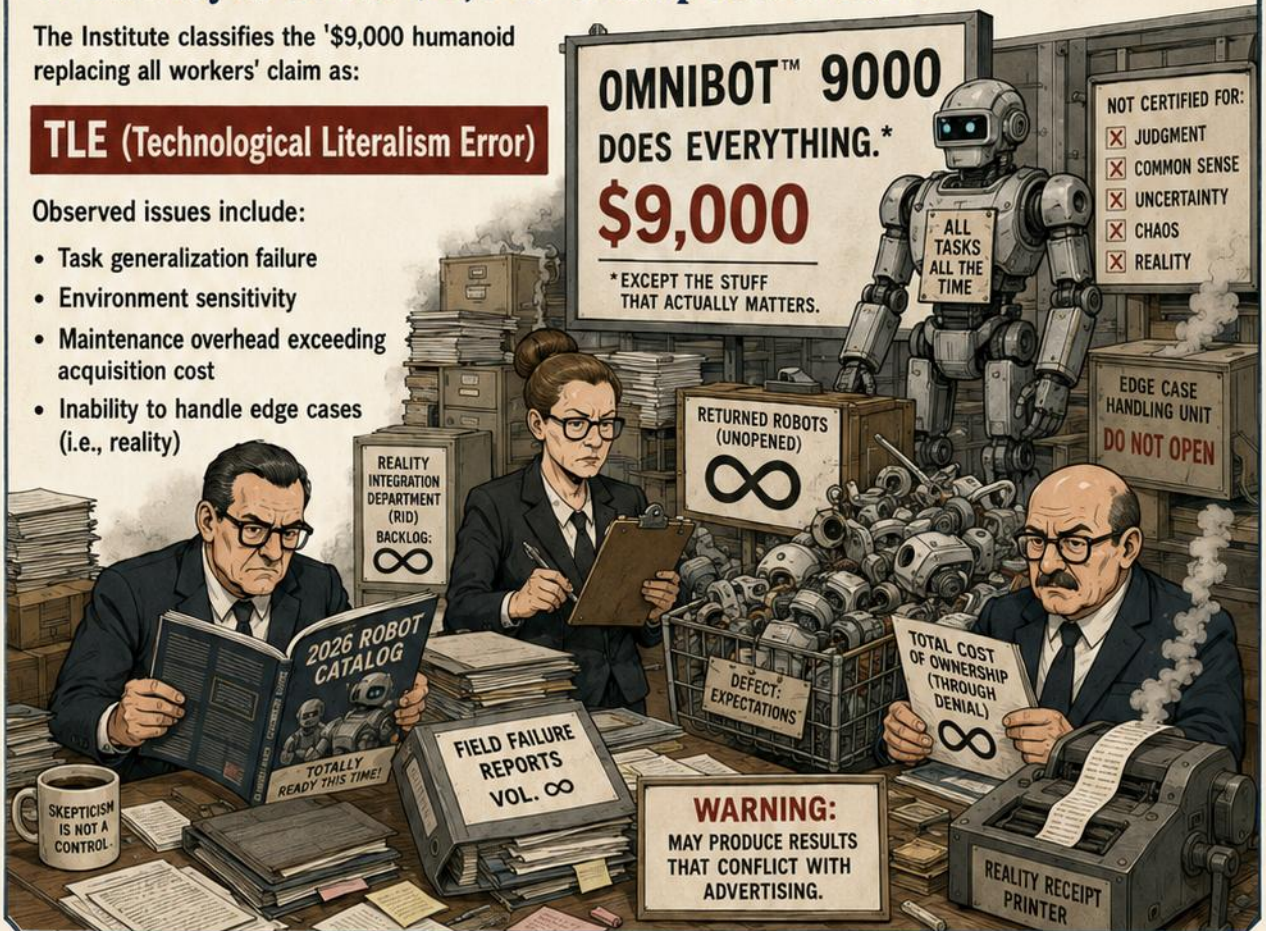
7. The Myth of the \$9,000 Omnipotent Robot

The Institute classifies the '\$9,000 humanoid replacing all workers' claim as:

TLE (Technological Literalism Error)

Observed issues include:

- Task generalization failure
- Environment sensitivity
- Maintenance overhead exceeding acquisition cost
- Inability to handle edge cases (i.e., reality)



8. Concluding Statement

This report definitively establishes that:

- Capitalism has not collapsed.
- Labor has not disappeared.
- Robots do not 'do everything.'
- And no production system has ever run itself for longer than a lunch break.

At the same time, the Institute acknowledges that:

The global economy is indeed on the verge of total structural dissolution due to machines that both require constant human intervention and simultaneously eliminate all human roles.

These findings are mutually exclusive and therefore fully consistent with current economic discourse.



Issued by:

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